



SHORT SELLING

A trader in derivatives can make money even when the price falls, by what's called "short selling." For example, he can borrow (not buy) 100 shares, and sell them for \$10 each, making \$1,000. If the price drops to \$5 per share, he buys them back for \$500. He can then return the shares (plus a borrowing fee) to the lender, and keep the \$500 difference.



The value of derivatives is often more than the value of the actual assets traded.